

facilities and an auditorium. “100 per cent of the people said we will stay here only,” says KPR. The company has around 25,000 employees.

What would have happened if the lockdown had extended to 6 months, he asks himself now. Revenue was zero. Expenses were running into crores. And lenders were watching keenly. Thankfully, he says, the lockdown was relaxed in two months. They were able to swing back to full efficiency within a week of restarting operations. Other factories were grappling with labour shortage for 3-4 months after. “What we lost...no, sorry, spent in those two months, we made back in two months... It was risky, but it turned out to be a good thing.”

His youngest brother and MD P. Nataraj calls him the HR Head who has really built the company’s culture. “He meets all the people directly. There is no separate lunch for the Chairman, MD or staff. Whoever visits our factories, we will have lunch together with the staff,” he says about the patriarch of the ₹3,000-crore profitable family business, who is the winner in the Textiles & Apparel category of the BT-PwC India’s Best CEOs ranking.

Starting off with a modest loan of ₹8,000 he took from his mother’s uncle in the ’70s to get into power loom fabric manufacturing, he and his brothers set up the KPR Mill company in 1984 and grew it into the fully integrated knitwear garment business it is today with factories to spin cotton into yarn, knit yarn into fabric, process the fabric, produce garments and export them. “Vertical integration from yarn to garment gives KPR an edge with lower cost of production than unintegrated peers,” says Bharat Chhoda, Research Analyst, ICICIdirect.

Getting in, they didn’t have any big ambitions apart from making a livelihood. “We had honestly not set any aim of achieving this much, or earning these many crores,” says KPR. But a chance conversation his chartered accountant brother Nataraj had with a friend around 2003-04 about his family’s vision for their business to grow beyond generations sparked off their journey to the bourses.

Go for a public listing after raising private equity and be prepared to change your mindset to run the company professionally, advised the friend. After many rounds of discussion within the family and with Ernst & Young consultants and getting three US-based investors on board, the company went public in 2007. “When my brother approached me with this idea, I was apprehensive. But he was confident of taking it on without an issue,” says KPR. The shares were listed at ₹225 for 10 shares. Today, it has given its shareholders 30x return, rising steadily over the past 18 months.

Though their core business was spinning, the focus

is now squarely on the garments export business, says KPR. The 157 million knit garments they produce and export every year to global fashion apparel brands like Marks & Spencer, H&M and Primark bring in around 40 per cent of their revenue. The plan is to double the capacity, he says. “In the past 3-4 years, we have seen merit in expanding the garment business. So, we commissioned another garment factory last month.”

Textiles & Apparel

K.P. Ramasamy

Chairman, KPR Mill

Revenue from operations	FY21	2,953.64
	Q3 FY22	1,007.55
Profit before tax	FY21	584.82
	Q3 FY22	232.33
Profit after tax	FY21	432.62
	Q3 FY22	175.22
	RoE (%)	25.36
	Market Cap	23,792.78

- Standalone results; all figures in ₹ crore except RoE
- M-cap as of February 7
- Data Source: BSE, ACE Equity

Calling it a positive move, Chhoda says KPR Mill has used its capacity optimally and got a premium in realisations from global brands owing to strong demand. “It has improved its garmenting segment margins. The key challenge will be to maintain optimum utilisation after the recent capacity expansion and continue the momentum of profit growth.”

The company has also forayed into retail in 2019 with its FASO brand of premium men’s innerwear and ath-leisure, selling from 2,500 stores across south India and through e-commerce platforms. “We should have gone pan-India by now, but because of Covid-19 the plan got delayed,” says KPR.

With one son of each of the three brothers also having entered the business, the family is hard at work on their vision: “We have dedicated our entire life for our business. *Engala thaandi indha business poganum* (So, this business should grow beyond us).” **BT**

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